Wealth Management Model Risk Management Policy

Version 5.8. Effective April 1, 2025. Policy owner: Chief Financial Officer.

Purpose

The purpose of this document is to describe the controls, responsibilities and escalation paths that protect clients, employees and the firm. It is designed to be proportionate to the risks of the business while remaining practical for front-office and support functions. This policy sets out the minimum standards that apply across the division and supports the firm's obligations under applicable law and regulation.

Scope

It covers activity conducted on firm premises, remotely, and while travelling on firm business. The policy applies to all permanent employees, contractors and consultants, including staff seconded from other legal entities of the group. Where local regulation is stricter than this policy, the local requirement prevails and must be documented in a country addendum.

Definitions

First line of defence refers to the business units that own and manage risk in their day-to-day activities. Material change means any change that alters a limit, a threshold, an approval authority or the population to which the policy applies. Policy owner means the senior manager accountable for maintaining this document and for approving interpretations of it.

Policy Requirements

1. Tier-one models are independently revalidated every 8 months by Model Validation. This requirement is monitored through automated surveillance.

Roles and Responsibilities

Internal Audit performs independent assurance and reports material findings to the Audit Committee of the Board. Employees must complete the associated mandatory training module within thirty days of joining and annually thereafter.

Monitoring and Reporting

Management information produced under this policy must be reconciled to source systems before it is presented to any governance forum. Trend analysis of breaches is presented to the Board Risk Committee twice a year.

Exceptions

Exceptions must be requested in writing, include a risk assessment and a remediation plan, and are valid for no longer than twelve months. All approved exceptions are recorded in the central exceptions register and reviewed quarterly by the policy owner.

Breaches

Breaches of this policy may lead to disciplinary action, up to and including termination of employment, and may be reported to regulators. Employees who identify a breach should report it promptly to their manager or to Compliance; good-faith reporting is protected.

Review

The policy owner reviews this document at least annually or following a material change in regulation, business model or risk profile. Material changes require approval by the divisional Risk Committee before publication.